

Categorizing these assets into two will help you understand how well is the company's core operation run and how efficiently are the financial assets utilized. While analyzing the operating working capital of the company, you will be able to analyze how efficiently the company's core business is performing.



Let us assume that the company's core business is performing extremely well. However, they are carrying a huge amount of cash on their balance sheet, thereby producing low returns. In such a scenario, the business's overall returns might seem pretty low. However, the core business is working efficiently.

